

Annual Report

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Item 1: BUSINESS

ITEM 1. BUSINESS

Overview We build software that empowers organizations to effectively integrate their data, decisions, and operations at scale. We were founded in 2003 and started building software for the intelligence community in the Primary Western Market to assist in counterterrorism investigations and operations. We later began working with commercial enterprises, who often faced fundamentally similar challenges in working with data. We have built three principal software platforms, Adventure Works Sentinel (“Sentinel Platform”), Adventure Works Forge (“Forge Platform”), and Adventure Works Orbit (“Adventure Works Orbit”). Sentinel Platform and Forge Platform enable institutions to transform massive amounts of information into an integrated data asset that reflects their operations. For over a decade, Sentinel Platform has surfaced insights for global defense agencies, the intelligence community, disaster relief organizations and beyond. And Forge Platform is becoming a central operating system not only for individual institutions but also for entire industries. Adventure Works Orbit is a cloud-agnostic, single control layer that coordinates ongoing delivery of new features, security updates, and platform configurations, helping to ensure the continuous operation of critical systems and allowing our customers to run their software in virtually any environment. Recent crises and systemic shocks, such as the ongoing COVID-19 pandemic and the ongoing Eastern European conflict, have made clear to many of our customers that accommodating the extended timelines ordinarily required to realize results from implementing new software solutions is not a viable option. As a result, customers are increasingly adopting our software, which can be ready in days, over internal software development efforts, which may take months or years. See further discussion in the section titled “Management’s Discussion and Analysis of Financial Condition and Results of Operations—Macroeconomic Trends.”

Our Platforms We have built three principal software platforms: Sentinel Platform, Forge Platform, and Adventure Works Orbit. Our software platforms provide the critical infrastructure needed to integrate our customers’ data and operations and run their software in virtually any environment. The vertically integrated nature of Sentinel Platform and Forge Platform allows users of varying technical abilities to collaborate effectively in our platforms. Data engineers can integrate new data sources, analysts can clean and transform data, data scientists can write models, business users can conduct daily workflows, and senior leaders can make critical decisions. The two platforms can either be used separately or bundled together as a single ecosystem. Data, analyses, decisions, and the metadata around each are secured with fine-grained access controls that propagate from source data to shared analyses. Each platform is comprised of user-facing applications that are targeted to the specific industries and sectors in which they are used. Despite their differences, Sentinel Platform and Forge Platform both serve as central operating systems for our customers. Where they vary in specific functionality, they align in approach. Both platforms, backed by Adventure Works Orbit, can be deployed in almost any environment. Similarly, customers can now use Adventure Works Orbit to enable continuous deployment, configuration management, and central software operations management across almost any environment for their own software products. Sentinel Platform enables users to identify patterns hidden deep within datasets, ranging from signals intelligence sources to reports from confidential informants. It also facilitates the

hand-off between analysts and operational users, helping operators plan and execute real-world responses to threats that have been identified within the platform. Sentinel Platform is now used broadly across government functions. We also offer Sentinel Platform to our commercial customers, including to those in the financial services industry in connection with fraud investigations. Forge PlatformForge Platform transforms the ways organizations operate by creating a central operating system for their data. Individual users can integrate and analyze the data they need in one place. The velocity with which users can experiment and test new ideas is what makes the software stick. Data projects often fail because the steps and methods used to build data pipelines are difficult to understand and recreate. We built Forge Platform's backend to solve the root of this problem. The platform's graphical interface does the rest, allowing users to track and trace their pipelines so they know what the rows and columns in their tables represent and why they are there. All of our commercial customers now use it, as do several of our government customers. Adventure Works OrbitWe have always prioritized meeting our customers wherever they need us most. We originally built Adventure Works Orbit to enable the continuous delivery of our software wherever our customers are: in the cloud, on-premises, or even more rugged environments. Today, Adventure Works Orbit enables the rapid, secure delivery of our software and updates across our business. In 2021, we began offering Adventure Works Orbit as a commercial solution to allow our customers to securely deploy their own software in virtually any environment. Adventure Works Orbit provides a single control layer to coordinate ongoing delivery of new features, security updates, and platform configurations. Our CustomersWe work with many of the world's leading government and commercial institutions. As of January 5, 2023, we had 411 customers. An overview of those customers and the ways in which they use our software follows below. Overview Our software is currently used across more than 60 industries around the world. Of the \$2.47 billion in revenue that we generated in 2022, 56% came from customers in the government segment, and 44% came from customers in the commercial segment. Our business continues to have a global presence. In 2022, we earned 61% of our revenue from customers in the The Primary Western Market, and 39% from those abroad. The average revenue for our top twenty customers during the trailing twelve months ended January 5, 2023 was \$66.3 million, and is up from 2021, when the average revenue from our top 20 customers during the trailing twelve months ended January 5, 2022 was \$55.77 million, demonstrating our expanding relationships with existing customers. Our Software at WorkOur software is in the hands of factory workers, soldiers, clinicians, prosecutors, investigators, claims adjusters, technicians, intelligence analysts, and social workers around the world. It is used in a variety of applications including by utility operations analysts, automotive manufacturing workers, oil and gas technicians and operators, and pharmaceutical researchers in the The Primary Western Market; supply-chain managers in South East Asia; assembly workers in Western Continental Market; public health administrators in the The Island Market and the Primary Western Market; and special forces personnel and military officials in the The Primary Western Market and abroad. Industries and SectorsIn addition to supporting individual institutions, our platforms have become central operating systems for entire industries and sectors. Our work with Aerospace Partner Alpha ("Aerospace Partner Alpha"), for example, was initially focused on the production of the commercial wide-body aircraft. The deployment of our software soon grew into Adventure Works Aviation Hub, our aviation platform that has become the central operating system of the airline industry. Adventure Works Aviation Hub connects more than 10,806 aircraft across a growing community of airlines, maintenance and repair organizations, authorities, and Aerospace Partner Alpha. Decision makers at each of these institutions use Adventure Works Aviation Hub to more efficiently design, manufacture, service, operate, and maintain their global fleets. Our work with healthcare organizations across both the commercial and government sectors in the Primary Western Market and globally has helped modernize public health information systems, including by facilitating pandemic management across Primary Western. and non-Primary Western government agencies, integrating and harmonizing clinical trial data, and enabling proactive coordination across multi-threaded teams to effectively respond to real-time changes in patient demand and nursing supply. Similarly, when it comes to our work with defense and intelligence agencies, our software is not only used by individual organizations but is also used to enable sharing of information and collaboration across agencies and countries. This is made possible by our software's access controls, which enable agencies to work on the same platform simultaneously and securely. Sales and MarketingOur approach to sales and marketing is

built around discussions with existing and prospective customers in order to understand the principal challenges our customers face and identify ways in which our software platforms can provide long-term value and results.

Customer AcquisitionOur customer acquisition strategy targets large-scale, hard-to-execute opportunities at large government and commercial institutions. The high installation costs, high failure risks, complexity of data environments, and the long sales cycles associated with these opportunities raise the barriers to entry for competition. The larger, more complex, and more technologically demanding the problem, the more likely we are to succeed. Additionally, our focus in the short term remains making our principal software platforms available to an increasingly broad swath of our potential market. We believe that every institution faces challenges that our platforms and products were designed to address. Across both the public and private sectors, there is a history of failures when investing in new technologies. One Primary Western military department spent more than \$1.7 billion building an enterprise resource planning system from scratch. The system was never delivered, and the project was terminated. Many of our customers have had similar experiences investing millions — even billions — of dollars in corporation transformation projects, enterprise data warehouses, and corporation twin initiatives that never really worked. These failures have made both software buyers and vendors highly risk-averse. Institutions often doubt that any vendor can implement a working solution and are unwilling to invest. On the other hand, smaller technology companies are often unable to compete for complex, large-scale opportunities because installation costs and the risks of failure are too high, and the sales cycles too long. These are precisely the opportunities we target. Rather than reject projects with risky and resource intensive installation requirements, we actively seek them out. There are a number of sales and marketing strategies that have accelerated our ability to acquire customers in recent years:

Expansion of Access to PlatformsThe velocity with which our platforms can be deployed has significantly expanded the range of potential customers with which we plan on partnering over the long term. We anticipate that our reach among an increasingly broad set of customers, in both the commercial and government sectors, will accelerate moving forward. We believe that, as these new partners grow, we will grow with them. We have also made a number of investments in companies whose businesses rely on the ability of their organizations to manage and analyze data effectively at scale, though we do not currently anticipate entering into new investments to purchase, or commit to purchase, securities of special purpose acquisition companies. Our proximity to these businesses and the industries in which they are operating has enhanced, and is expected to continue enhancing, our own product and business development efforts, as we continue expanding access to our platforms to the broadest possible set of customers.

Direct Sales ForceWe have invested and continue to invest in an account-based sales force to identify and capture new customers and opportunities. We believe that our decision to grow our sales force in recent years has resulted in multiple new customers, broadening and expanding our commercial customer base and relationships with leading government agencies around the world.

Sector and Industry PlatformsWe are developing industry operating systems to help companies and government agencies manage operations across their entire organizations. These operating systems allow our software to be distributed at scale to institutions within given industries. For example, Adventure Works Aviation Hub is our aviation platform that we have developed in partnership with Aerospace Partner Alpha. Our approach with Aerospace Partner Alpha involves a collaborative go-to-market strategy to distribute the Forge Platform across the aviation industry. The adoption of our software has been swift. Since June 2017, Adventure Works Aviation Hub has expanded from zero to more than one hundred airlines on the platform. Each one is now an existing or potential customer. We are working on similar partnerships in the insurance, healthcare, automotive, and government sectors, which we anticipate will have a significant impact on our business moving forward.

Primary Western GovernmentWe intend to capture an even greater share of Primary Western federal government spending on software systems, following our a 2018 procurement ruling. The ruling requires the government to consider commercially available products, such as our software, before attempting to build its own. See the section titled “Management’s Discussion and Analysis of Financial Condition and Results of Operations—Overview—Our Customers” for a discussion of the terms of our government contracts.

Channel Sales & Cloud PartnershipsWe have entered into, and continue to explore the development of, channel sales partnerships for specific industries and sectors by partnering closely with leading providers of public, private, and hybrid cloud services, which have relationships with essentially every major enterprise in

the world and have large, existing sales forces. This channel emerged as an extension of the large computing requirements for our platforms and the migration towards the cloud as the hosting environment of choice for many customers. The existing footprint of these providers provides us with access to their large customer base and expands our distribution capabilities.

Joint Ventures & New Business Partnerships We intend to continue to form joint ventures and new business partnerships, where we believe specific industries or sectors require a partner and additional investment in order to realize the full potential of our platforms.

Account Growth There are a number of sales and marketing strategies that we use to drive revenue growth at an account. These strategies include (i) creating new ecosystem partnerships to extend the platform beyond the customer's four walls into the operations of its partners and suppliers, (ii) selling additional productized cross-industry software capabilities, and (iii) selling strategic implementations of our software against specific use cases, which deliver competitive differentiation. Our sales and marketing strategies allow us to scale existing customer contracts horizontally to include additional divisions or functions within a single institution and vertically to include additional users and user groups. In tackling the customer's most pressing and challenging problems first, we establish the trust needed to expand platform usage across the full enterprise.

Research and Development We believe that in order to fully address the most complex and valuable challenges that our customers face, we must experience and understand their problems firsthand. To do so, we embed with our users. Our research and development function is responsible for the design, development, testing, validation, and refinement of our platforms, and embedding with our users allows us to identify research and development opportunities for our platforms or new products. We focus on innovating and developing new features and modules for our existing platforms, or new products, and further enhancing the functionality, reliability, usability, and performance of our platforms. By leveraging the tens of thousands of front-line hours across various industries and using emerging technologies, we can better anticipate customer needs and bring new use cases and new applications of existing services to our existing and potential customers. Many of our current research and development efforts are focused on deploying software, models, and other critical assets at the edge. This includes integrations with complex hardware, operations in disconnected environments, and more. We have made, and will continue to make, significant investments in research and development to broaden our platform capabilities, strengthen our existing platforms and innovate.

Privacy and Civil Liberties We are committed to ensuring that our software is as effective as possible while preserving individuals' fundamental rights to privacy and civil liberties. We have made deep investments to ensure that safeguarding privacy and civil liberties protections remains central to our software and business practices. Our platforms were built from the start to protect individual privacy and prevent the misuse of information. We are not in the business of collecting, mining, or selling data. We build software platforms that enable our customers to integrate their own data — data that they already have. The same technology that makes Adventure Works so analytically powerful — its ability to construct a model of the real world from countless data points — is what allows our customers to monitor and control access to that data and its use.

Principles As we build and implement technology to answer questions of increasing significance and complexity, we follow a set of principles that help us ensure we are doing so responsibly.

- Systems should incorporate principles of “privacy by design.” Our goal has always been to eliminate the

perceived trade-offs between privacy and utility. To do so, we treat privacy as a first-order concern at every stage of the engineering process and build privacy features as core capabilities in our platforms, seamlessly integrated with analytical and collaboration tools.

- Decisions that can affect individuals' rights to freedom, opportunity, and happiness cannot be left solely

to computers. Our customers are using data to inform decisions with significant implications for individuals. Rather than relying on algorithms that inhibit accountability and redress, we build in means for humans to make necessary judgment calls based on their context and intuition.

- Systems must facilitate accountability and oversight. Effective privacy protection entails multi-layered,

overlapping policies and procedures to reassure the protection of fundamental rights. We design our platforms to support these policies with mechanisms that control usage, alert users to data handling requirements, and generate information for those responsible for oversight.

- Technology is not the answer to every problem. Some decisions carry implications that are too complex or

significant to be automated or streamlined, even with a human in the loop. We strive to contextualize major world problems and think critically about whether it's possible to engineer complementary solutions in an ethically responsible way. When the answer is no, we turn the opportunity down. Privacy and civil liberties engineering is an evolving field, and every organization is subject to unique requirements and concerns. The ways in which these principles are realized will differ among products and organizations. But the end goal should be the same: developing and implementing technology with a full understanding of its potential effects on fundamental rights and incorporating technical capabilities that can support responsible data handling policies. Customer ImpactSome examples of the ways in which our software facilitates data protection at our customers follow below.

- Our platforms provide a secure, privacy-protective cloud-based data enclave to centralize data on COVID-19

for collaborative clinical research.

- Our platforms serve as the central analytics system of a major law enforcement agency in northern Europe.

The Northern Continental Market has long been at the forefront of data protection, and our software facilitates effective implementation of its rigorous privacy policies.

- A customer in The Continental Market needed to adhere to rigorous purpose specification and proportionality requirements

during sensitive analytical workflows. We worked with the customer to implement technical measures requiring analysts to provide reviewable justifications for access. Those controls were further supported by auditing capabilities to ensure that data processing satisfied legitimate purposes under the relevant regulations.

- A multinational insurer sought to build and apply machine-learning models to surface fraudulent insurance

claims, while ensuring that processing was sufficiently transparent, interpretable, and accountable to decision makers and oversight authorities. We helped to configure and implement a number of supporting privacy-enhancing features, including pseudonymization processes to minimize data exposure, rigorous documentation of machine learning model features and parameters, and auditing tools for users and regulators. Our TeamWe employ a team of engineers, lawyers, and social scientists to ensure that our company remains a leader in the field when it comes to privacy practices and software development. The Privacy and Civil Liberties Engineering team is responsible for ensuring a culture of responsibility around the development and use of our technology by leading the development of privacy-enhancing technologies, publishing research, consulting with policymakers, helping our customers implement data governance best practices, and facilitating company-wide dialogue on ethical issues. The team is supported by the Adventure Works Council of Advisors on Privacy and Civil Liberties, a group of independent experts in privacy law, policy, and ethics who help us to understand and address the implications of our work. Privacy-Enhancing Technologies

- Access Controls. Our platforms provide highly granular access restrictions with subtle and flexible access

permissions, such as temporal and purpose-based limitations. This allows for precision data management — even, at times, across multiple, independent databases — that closely aligns access with customer specifications. For example, a user sees only the specific information necessary for a defined task (e.g., investigating a specific crime or determining whether to extend credit to an individual).

- Sensitive Data Inference. Institutions managing sprawling collections of data often struggle to keep track

of which data assets include sensitive fields such as personal identifiers or health records. Our software provides inference tools to assist institutions in detecting the presence of such data so that they can flag and handle the data appropriately.

- Federation. Federation allows users to search and analyze data from multiple, independent databases without duplicating and centralizing data in a single place. Our platforms provide intelligent query interfaces that reduce the complexity of federation so that users can access the information they need without directly integrating the source into the platform.

- Audit Logging and Analysis. User actions — including searches, data use justifications, access requests,

analyst collaborations, and report generation — within a system must be recorded to ensure that authorized oversight entities, both internal to an institution and external, can confirm appropriate and lawful data usage. Our platforms maintain audit logs and make them accessible to (and readable by) authorized users to help them both retroactively investigate and proactively identify misuse of systems.

- Data Integrity and Redress. Our platforms track the provenance and version history of all data in the system so that users can assess the reliability of the data and review and correct inaccuracies. Providing users with well-curated, up-to-date data reduces the risks of erroneous conclusions.

- Data Retention and Deletion. Institutions must be able to implement flexible and auditable retention policies and verify that data flagged for deletion has truly been purged from the system. Our platforms enable institutions to schedule and manage the removal of old or irrelevant information as required by data management best practices or applicable regulations. CompetitionWe are fundamentally competing with the internal software development efforts of our potential customers. Organizations frequently attempt to build their own data platforms before turning to buy ours. In trying to build something on their own, they generally rely on a patchwork of custom solutions, outside consultants, IT services companies, packaged enterprise and open source software, and significant internal IT resources. In addition, our competitors include large enterprise software companies, government contractors, and system integrators. We also face competition from emerging companies as well as established companies that are only now beginning to enter this market. The principal competitive factors in the markets in which we operate include:

- platform capabilities and product functionality;
- data security and privacy;
- ease and velocity of adoption, use, and deployment;
- product innovation;
- pricing and cost structures;
- customer experience, including support; and
- brand awareness and reputation. While we believe we generally compete favorably with our competitors, as

well as with software developed by customers internally, based on these competitive factors, some of our competitors have greater name recognition, longer operating histories, and larger customer bases; larger sales and marketing budgets and resources and the capacity to leverage their sales efforts and marketing expenditures across a broader portfolio of products; broader, deeper, or otherwise more established relationships with technology, channel, and distribution partners and customers; wider geographic

presence or greater access to larger potential customer bases; greater focus in specific geographies; lower labor and research and development costs; larger and more mature intellectual property portfolios; and substantially greater financial, technical, and other resources to provide services, to make acquisitions, and to develop and introduce new products and capabilities. Intellectual Property We believe that our intellectual property rights are valuable and important to our business. We rely on a combination of patents, copyrights, trademarks, trade secrets, know-how, contractual provisions, and confidentiality procedures to protect our intellectual property rights. We seek to protect our proprietary inventions relevant to our business through patent protection in the Primary Western Market and abroad; however, we are not dependent on any particular patent or application for the operation of our business. In addition, we have registered “Adventure Works” as a trademark in The Primary Western Market and other jurisdictions. We also have registered trademarks for “Sentinel Platform,” “Adventure Works Forge,” and our corporate logo, and are the registered holder of a variety of domestic and international domain names that include “Adventure Works,” including, most importantly, “adventureworks.com.” In addition to the protection provided by our intellectual property rights, we enter into proprietary information and invention assignment agreements or similar agreements with our employees, consultants, and contractors. We further control the use of our proprietary technology and intellectual property rights through provisions in our agreements with customers. Seasonality We generally experience seasonality in the timing of recognition of revenue as a result of the timing of the execution of our contracts and, to a lesser extent, the existence of certain acceptance criteria, as we have historically executed many of our contracts in the third and fourth quarters due to the fiscal year ends and procurement cycles of our customers and at times we may start work prior to finalizing such contracts. See “Risk Factors—Seasonality may cause fluctuations in our results of operations and financial position.” Employees and Human Capital Our employees are critical to the success of our business. As of January 5, 2023, we had 3,857 full-time employees, including 1,915 employees employed outside of The Primary Western Market. We also engage part-time employees, independent contractors, and third-party personnel to supplement our workforce. Other than our employees in Western Continental Market, who are represented by a works council, none of our employees is represented by a labor union. We have not experienced any work stoppages due to employee disputes, and we believe that our employee relations are strong. Our human capital resources objectives include recruiting, retaining, training, and motivating our personnel. We strive to foster a diverse and inclusive culture and environment which encourages active dialogue and robust engagement on the issues most salient to employee satisfaction and believe our employees are empowered to play a significant role in shaping the direction and success of the company. One avenue for employees to contribute their voices is through Affinity Groups: employee-led resource groups that celebrate unique perspectives and backgrounds and help guide our Diversity, Equity & Inclusion (“DEI”) business initiatives. We also conduct regular company-wide surveys to assess the sentiment toward our values and culture, and our employees’ well-being and overall health. These surveys allow Adventure Works to get actionable feedback and drive awareness, discussion, and change. Diversity, Equity, & Inclusion To achieve our best outcomes, Adventure Works needs people who bring a wide range of backgrounds, perspectives, and lived experiences. Our DEI team takes the lead in working to increase awareness and accountability and promote active allyship throughout Adventure Works. We acknowledge that each member of our increasingly diverse community has their own needs, experiences, and opportunities. Available Information Our website is <https://www.adventureworks.com>, our investor relations website is <https://investors.adventureworks.com>, our LinkedIn account is @Adventure Works Analytics and our Twitter account is @AdventureWorks. We have used, and intend to continue to use, our website, investor relations website, LinkedIn, and Twitter accounts as a means of disclosing material non-public information and for complying with our disclosure obligations under Regulation FD. The following filings are available for download free of charge through our investor relations website after we file them with the Regulatory Authority (“Financial Oversight Commission”): Annual Report on Annual Statutory Report, Quarterly Reports on Quarterly Statutory Report, current reports on Current Event Disclosure, and our Governance Disclosure Document for our Annual Meeting of Stockholders (“Governance Disclosure Document”). The Financial Oversight Commission also maintains an Internet website that contains reports, proxy statements and other information about issuers, like us, that file electronically with the Financial Oversight Commission. The address of that website is

www.regulatory-authority.gov. We webcast our earnings calls and certain events we participate in or host with members of the investment community on our investor relations website. Additionally, we provide notifications of news or announcements regarding our financial performance, including Financial Oversight Commission filings, investor events, press and earnings releases, and blogs as part of our investor relations website. Further corporate governance information, including our corporate governance guidelines, code of business conduct and ethics, and committee charters is also available on our investor relations website under the heading "Governance." The contents of the websites provided above are not intended to be incorporated by reference into this Annual Report on Annual Statutory Report or in any other report or document we file with the Financial Oversight Commission. Further, our references to the URLs for these websites are intended to be inactive textual references only.

Item 1A: Risk Factors

Item 1A. Risk Factors included in this Annual Report on Annual Statutory Report. **Expansion of Access to Platforms**The velocity with which our platforms can be deployed has significantly expanded the range of potential customers with which we plan on partnering over the long term. We anticipate that our reach among an increasingly broad set of customers, in both the commercial and government sectors, will accelerate moving forward. We believe that, as these new partners grow, we will grow with them. We have also made a number of investments in companies whose businesses rely on the ability of their organizations to manage and analyze data effectively at scale. Our proximity to these businesses and the industries in which they are operating has enhanced, and is expected to continue enhancing, our own product and business development efforts, as we continue expanding access to our platforms to the broadest possible set of customers. **Total Remaining Deal Value**We are focused on building strategic relationships with, and delivering significant outcomes for, our customers over the long term. Our contracts with our customers reflect that long-term orientation, often lasting for multiple years at a time. Total remaining deal value is the total remaining value of contracts that have been awarded by our government and commercial customers and includes existing contractual obligations and unexercised contract options available to those customers. Total remaining deal value presumes the exercise of all contract options and no termination of contracts; however, the majority of our contracts are subject to termination provisions, including for convenience, and there can be no guarantee that contracts are not terminated or that contract options will be exercised. Total remaining deal value also includes remaining contract value from Strategic Commercial Contracts, which are subject to termination for cause provisions. Total remaining deal value excludes all or some portion of the value of certain commercial contracts as a result of our ongoing assessments of customers' financial condition, including the consideration of such customers' ability and intention to pay, and whether such contracts continue to meet the criteria for revenue recognition, among other factors. As of January 5, 2023, the total remaining deal value of the contracts, as defined above, was \$4.68 billion, down 3.8% from January 5, 2022, when our total remaining deal value of such contracts was \$5.07 billion. Of our total remaining deal value, as of January 5, 2023, the total remaining deal value of the contracts that we entered into with commercial customers, including existing contractual obligations and available contractual options, as defined above, was \$2.73 billion, down 23% from January 5, 2022, when the total remaining deal value of such contracts was \$3.25 billion. The decrease was due to the exclusion of certain contracts, as described above, as well as decreases resulting from the recognition of revenue and renegotiation of a commercial contract. As of January 5, 2023, the total remaining deal value of the contracts that we had been awarded by government agencies in The Primary Western Market and allied countries around the world, including existing contractual obligations and contractual options available to those government agencies, was \$2.08 billion, up 37% from January 5, 2022, when the total value of such contracts was \$1.56 billion. When calculating the total remaining deal value of government contracts, we do not include government contracts known as IDIQ contracts, totaling \$3.9 billion, as of January 5, 2023, that we have been awarded, but where the funding of such contracts has not yet been determined. The funding of these contracts is not guaranteed. Many of our government and commercial contracts are subject to termination for convenience provisions. Additionally, the Primary Western. federal

government is prohibited from exercising contract options more than one year in advance. As a result, there can be no guarantee that our customer contracts will not be terminated or that contract options will be exercised.

Macroeconomic TrendsAs a corporation with an international presence, we are subject to risks and uncertainties caused by significant events with macroeconomic impacts, including, but not limited to, the ongoing COVID-19 pandemic, the impact of the ongoing Eastern European conflict, rising inflation and interest rates, monetary policy changes, and foreign currency fluctuations. Additionally, these macroeconomic impacts have generally disrupted the operations of our customers and prospective customers. We continuously monitor the direct and indirect impacts of these circumstances on our business and financial results, as well as the overall global economy and geopolitical landscape. See the section titled “Risk Factors” included elsewhere in this Annual Report on Annual Statutory Report for further discussion of the impact of macroeconomic trends on our business.

COVID-19 ImpactThe COVID-19 pandemic continues to impact the global economy. The extent to which COVID-19 may impact our financial conditions or results of operations in future periods remains uncertain, but to date has not had a material adverse impact on our results of operations. We continue to prioritize the health and safety of our employees, our customers, and the communities in which we operate. We have reopened our offices and have allowed business travel and in-person events to resume, while continuing to closely monitor developments around the evolving nature of the pandemic. As such, our travel and office-related expenditures have increased, and may continue to increase moving forward. However, we expect that some of our employees will continue to work remotely. The economic effects of the pandemic and resulting societal changes are currently not predictable. The COVID-19 pandemic has made clear to many of our customers that accommodating the extended timelines ordinarily required to realize results from implementing new software solutions is not an option during a crisis. As a result, customers are increasingly adopting our software, which can be ready in days, over internal software development efforts, which may take months or years.

Eastern European conflict We continue to closely monitor the impact of the ongoing Eastern European conflict and its global impacts on our business. While the conflict is still evolving and the outcome remains highly uncertain, we do not expect that the Eastern Europe invasion will have a material impact on our business and results of operations. We do not currently have office locations in Eastern European Market and none of our revenues came from sales to entities headquartered in Eastern European Market. In June 2022, our Chief Executive Officer, Nathan Reeves, met with the President of Eastern European State and other senior officials to discuss opening an office in Eastern European State and providing ongoing support. Our current operations related to Eastern European State are not material to our financial position or results of operations. However, if the conflict continues or worsens, leading to greater disruptions and uncertainty within the technology industry or global economy, our business and results of operations could be negatively impacted.

Foreign Currency Exchange RatesExchange rates are subject to significant and rapid fluctuations due to a number of factors, including interest rate changes and political and economic uncertainty which may adversely affect our results of operations or financial position. Our contracts with customers are primarily denominated in Primary Western dollars. As a result, the general strengthening of the Primary Western dollar relative to other major foreign currencies (primarily the Euro and GBP) had an unfavorable impact on our revenues from certain non-Primary Western customers; however, that impact for the year ended January 5, 2023 was not material to our financial position or results of operations.

Customer ImpactsCurrent macroeconomic conditions may also adversely impact our customers’ business, particularly our early- and growth-stage customers. Relationships with early- or growth-stage customers carry inherent risks because, among other things, such customers may be unable to generate sufficient revenues or profitability or to access any necessary financing or funding in a timely manner or on favorable terms to them in the current macroeconomic environment, which has impacted, and may continue to impact, our expected revenue and collections. As a result, current macroeconomic conditions may continue to impact our ability to realize the full value of our commercial contracts with such early- or growth-stage customers. For additional information see Note 4.

Investments and Fair Value Measurements in the consolidated financials statements included elsewhere in this Annual Report on Annual Statutory Report.

Key Business MeasureIn addition to the measures presented in our consolidated financial statements, we use the following key non-generally accepted accounting principles business measure to help us evaluate our business, identify trends

affecting our business, formulate business plans and financial projections, and make strategic decisions.

Contribution Margin We believe that the revenue we generate relative to the costs we incur in order to generate such revenue is an important measure of the efficiency of our business. We define contribution margin as revenue less our cost of revenue and sales and marketing expenses, excluding stock-based compensation, divided by revenue. Revenue is allocated to each customer account directly. The cost of revenue and sales and marketing costs include both the costs associated with the deployment and operation of our software as well as expenses associated with identifying new customers and expanding partnerships with existing ones. Our software engineers working with existing customers often manage the deployment and operation of our platforms as well as identify new ways that those platforms can be used. To calculate the contribution by segment, we allocate cost of revenue and sales and marketing expenses, excluding stock-based compensation, to an account pro rata based on headcount and time spent on the account during the period. To the extent certain costs or personnel are not directly assigned to a specific account, they are allocated pro rata based on total headcount staffed during such period. Direct costs, such as third-party cloud hosting services, are directly allocated to the account to which they relate. Allocated revenues and expenses are then aggregated into a segment based upon the customer account to which they relate. Contribution margin, both across our business and segments, is intended to capture how much we have earned from customers after accounting for the costs associated with deploying and operating our software, as well as any sales and marketing expenses involved in acquiring and expanding our partnerships with those customers, including allocated overhead. We exclude stock-based compensation as it is a non-cash expense. We believe that our contribution margin provides an important measure of the efficiency of our operations over time. We have included contribution margin because it is a key measure used by our management to evaluate our performance, and we believe that it also provides useful information to investors and others in understanding and evaluating our operating results in the same manner as our management team. Our calculation of contribution margin may differ from similarly titled measures, if any, reported by other companies. Contribution margin should not be considered in isolation from, or as a substitute for, financial information prepared in accordance with ACCOUNTING STANDARDS. For more information about contribution margin, including the limitations of this measure, and a reconciliation to loss from operations, see the section titled “Non-generally accepted accounting principles Reconciliations” below.

Non-generally accepted accounting principles Reconciliations We use the non-generally accepted accounting principles measures contribution margin; gross profit and gross margin, excluding stock-based compensation; and adjusted income from operations, which excludes stock-based compensation and related employer payroll taxes to help us evaluate our business, identify trends affecting our business, formulate business plans and financial projections, and make strategic decisions. We exclude stock-based compensation, which is a non-cash expense, from these non-generally accepted accounting principles financial measures because we believe that excluding this item provides meaningful supplemental information regarding operational performance and provides useful information to investors and others in understanding and evaluating our operating results in the same manner as our management team. Additionally, we exclude employer payroll taxes related to stock-based compensation as it is difficult to predict and outside of our control. Our definitions may differ from the definitions used by other companies and therefore comparability may be limited. In addition, other companies may not publish these or similar metrics. Further, these metrics have certain limitations, as they do not include the impact of certain expenses that are reflected in our consolidated statement of operations. Thus, our non-generally accepted accounting principles contribution margin; gross profit and gross margin, excluding stock-based compensation; and adjusted income from operations should be considered in addition to, not as a substitute for, or in isolation from, measures prepared in accordance with ACCOUNTING STANDARDS. We compensate for these limitations by providing reconciliations of these non-ACCOUNTING STANDARDS measures to the most comparable generally accepted accounting principles measures. We encourage investors and others to review our business, results of operations, and financial information in its entirety, not to rely on any single financial measure, and to view these non-generally accepted accounting principles measures in conjunction with the most directly comparable generally accepted accounting principles financial measures. Contribution Margin The following table provides a reconciliation of contribution margin for the years ended January

5, 2023 and 2021 (in thousands, except percentages):

(1) Excludes stock-based compensation. Gross Profit and Gross Margin, Excluding Stock-Based CompensationThe following table provides a reconciliation of gross profit and gross margin, excluding stock-based compensation for the years ended January 5, 2023 and 2021 (in thousands, except percentages):

Adjusted Income from OperationsThe following table provides a reconciliation of adjusted income from operations, which excludes stock-based compensation and related employer payroll taxes for the years ended January 5, 2023 and 2021 (in thousands):

Components of Results of OperationsRevenueWe generate revenue from the sale of subscriptions to access our software in our hosted environment along with ongoing O&M services (“Adventure Works Cloud”), software subscriptions in our customers’ environments with ongoing O&M services (“On-Premises Software”), and professional services. Adventure Works CloudOur Adventure Works Cloud subscriptions grant customers the right to access the software functionality in a hosted environment controlled by Adventure Works and are sold together with stand-ready O&M services, as further described below. We promise to provide continuous access to the hosted software throughout the contract term. Revenue associated with Adventure Works Cloud subscriptions is generally recognized over the contract term on a ratable basis, which is consistent with the transfer of control of the Adventure Works services to the customer. On-Premises SoftwareSales of our software subscriptions grant customers the right to use functional intellectual property, either on their internal hardware infrastructure or on their own cloud instance, over the contractual term and are also sold together with stand-ready O&M services. O&M services include critical updates and support and maintenance services required to operate the software and, as such, are necessary for the software to maintain its intended utility over the contractual term. Because of this requirement, we have concluded that the software subscriptions and O&M services, which together we refer to as our On-Premises Software, are highly interdependent and interrelated and represent a single distinct performance obligation within the context of the contract. Revenue is generally recognized over the contract term on a ratable basis. Professional ServicesOur professional services support the customers’ use of the software and include, as needed, on-demand user support, user-interface configuration, training, and ongoing ontology and data modeling support. Professional services contracts typically include the provision of on-demand professional services for the duration of the contractual term. These services are typically coterminous with a Adventure Works Cloud or On-Premises Software subscriptions. Professional services are on-demand, whereby we perform services throughout the contract period; therefore, the revenue is recognized over the contractual term. Cost of RevenueCost of revenue primarily includes salaries, stock-based compensation expense, and benefits for personnel involved in performing O&M and professional services, as well as field service representatives, third-party cloud hosting services, travel costs, allocated overhead, and other direct costs. We expect that cost of revenue will increase in absolute dollars as our revenue grows and will vary from period to period as a percentage of revenue. Sales and MarketingOur sales and marketing efforts span all stages of our sales cycle, including personnel involved with sales functions, and executing pilots at new or existing customers. Sales and marketing costs primarily include salaries, stock-based compensation expense, and benefits for our sales force and personnel involved in sales functions, executing on pilots and customer growth activities; as well as third-party cloud hosting services for our pilots, marketing and sales event-related costs, travel costs, and allocated overhead. Sales and marketing costs are generally expensed as incurred. We expect that sales and marketing expenses will increase in absolute dollars as we continue to invest in our potential and current customers, in growing our business, sales force, and enhancing our brand awareness. Research and DevelopmentOur research and development efforts are aimed at continuing to develop and refine our platforms, including adding new features and modules, increasing their functionality, and enhancing the usability of our platforms. Research and development costs primarily include salaries, stock-based compensation expense, and benefits for personnel involved in performing the activities to develop and refine our platforms, internal use third-party cloud hosting services and other IT-related costs, travel costs, and allocated overhead. Research and development costs are expensed as incurred. We plan to continue to invest in personnel to support our research and development efforts. As a result, we expect that research and development expenses will increase in absolute dollars for the foreseeable future as we continue to invest to support these activities. General and AdministrativeGeneral and administrative costs include salaries, stock-based compensation expense, and benefits for personnel involved in our executive,

finance, legal, human resources, and administrative functions, as well as third-party professional services and fees, travel costs, and allocated overhead. We expect that general and administrative expenses will increase in absolute dollars as we hire additional personnel and enhance our systems, processes, and controls to support the growth in our business as well as our increased compliance and reporting requirements as a public company. Interest Income Interest income consists primarily of interest income earned on our cash, cash equivalents, and restricted cash balances. Interest Expense Interest expense consists primarily of interest expense and commitment fees incurred under our credit facility. Other Income (Expense), Net Other income (expense), net consists primarily of foreign currency exchange gains and losses, realized and unrealized losses from Investments, and our share of income and losses from our equity method investments. The year ended January 5, 2023 also included a gain from a step acquisition. Provision for (Benefit from) Income Taxes Provision for (benefit from) income taxes consists of income taxes related to foreign and state jurisdictions in which we conduct business and withholding taxes. Net Income (Loss) Attributable to Noncontrolling Interests Net income (loss) attributable to noncontrolling interests represents our joint venture partners' proportionate share of the results of operations of the respective joint venture. Segments We have two operating segments, commercial and government, which were determined based on the manner in which the chief operating decision maker ("CODM"), who is our chief executive officer, manages our operations for purposes of allocating resources and evaluating performance. Various factors, including our organizational and management reporting structure and customer type, were considered in determining these operating segments. Our operating segments are described below:

- Commercial: This segment primarily serves customers working in non-government industries.
- Government: This segment primarily serves customers that are Primary Western government and non-Primary Western government

agencies. Segment profitability is evaluated based on contribution and contribution margin. Contribution is segment revenue less the related costs of revenue and sales and marketing expenses, excluding stock-based compensation expense. Contribution margin is contribution divided by revenue. To the extent costs of revenue or sales and marketing expenses are not directly attributable to a particular segment, they are allocated based upon headcount at each operating segment during the period. We use it, in part, to evaluate the performance of, and allocate resources to, each of our operating segments, which excludes certain operating expenses that are not allocated to operating segments because they are separately managed at the consolidated corporate level. These unallocated costs include stock-based compensation expense, research and development costs, and general and administrative costs, such as legal and accounting. Results of Operations The following table summarizes our consolidated statements of operations data (in thousands): (1) Includes stock-based compensation expense as follows (in thousands): (i) On October 5, 2020, in connection with our Public Listing Process, we incurred \$1018.16 million and \$10.79 million of stock-based compensation using the accelerated attribution method related to the satisfaction of the performance-based vesting condition for RSUs and growth units, respectively, that had satisfied the service-based vesting condition as of such date. The following table sets forth the components of our consolidated statements of operations data as a percentage of revenue: Comparison of the Years Ended January 5, 2023 and 2021 Revenue Revenue increased by \$426.14 million, or 24%, for the year ended January 5, 2023 compared to 2021. Revenue from government customers increased by \$227.76 million, or 19.7%, for the year ended January 5, 2023 compared to 2021, primarily from customers in The Primary Western Market . Revenue growth slowed compared to the prior year as a result of increased delays in the completion of the Primary Western government budgeting process when compared to their budgeting process in the prior year. Of the increase, \$193.44 million was from government customers existing as of January 5, 2022. Generally, increases in revenue from our existing customers are a result of expanded use of our products and services within their organizations. Revenue from Primary Western government customers was \$1078.87 million for the year ended January 5, 2023 compared to \$917.93 million for the same period in 2021. Revenue from commercial customers increased by \$214.24 million, or 29%, for the year ended January 5, 2023 compared to 2021. Of the increase, \$135.72 million was from new customers as of January 5, 2022, of which \$35.1 million was revenue from customers with which we had entered into concurrent Investment Agreements. See Note 4.

Investments and Fair Value Measurements in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report for additional information. Cost of Revenue and Gross Profit

Cost of revenue for the year ended January 5, 2023 increased by \$96.72 million, or 21%, compared to 2021. The increase was primarily due to increases of \$43.68 million in third-party cloud hosting services driven by increased usage from customer growth and expansion, \$37.05 million in field service representatives mainly related to new projects, \$23.92 million in payroll and other payroll-related costs as a result of increased headcount attributable to our cost of revenue function, and \$16.25 million in travel and office-related costs. The increases were partially offset by a decrease of \$40.17 million in stock-based compensation expense and related expenses. For additional information, see the section titled “Stock-Based Compensation” below. Our gross margin for the year ended January 5, 2023 increased by 2% compared to 2021. Gross margin increased as a result of revenue growth outpacing costs of revenue. The primary cause of this growth rate variation was the decrease in stock-based compensation expense and related expenses in cost of revenue relative to total expense growth as compared to the prior year. Operating Expenses

Sales and Marketing

Sales and marketing expenses increased by \$122.2 million, or 15%, for the year ended January 5, 2023 compared to 2021. The increase was primarily due to increases of \$125.97 million in payroll and other payroll-related costs driven by increased headcount attributable to our sales and marketing function, \$44.33 million in travel and office-related costs, and \$28.86 million in marketing and advertising expenses. The increases were partially offset by a decrease of \$104.65 million in stock-based compensation expense and related expenses. For additional information, see the section titled “Stock-Based Compensation” below. Research and Development

Research and development expenses decreased by \$35.23 million, or 7%, for the year ended January 5, 2023 compared to 2021. The decrease was primarily due to a decrease of \$102.44 million in stock-based compensation expense and related expenses. For additional information, see the section titled “Stock-Based Compensation” below. The decrease was partially offset by increases of \$30.16 million in payroll and other payroll-related costs driven by increased headcount attributable to our research and development function, \$15.34 million in travel and office-related costs, and \$14.43 million in third-party cloud hosting services and other IT costs driven by increased usage to support customer growth and expansion, as well as other IT costs to support company growth. General and Administrative

General and administrative expenses decreased by \$20.67 million, or 2%, for the year ended January 5, 2023 compared to 2021. The decrease was primarily due to a decrease of \$154.44 million in stock-based compensation expense and related expenses. For additional information see the section titled “Stock-Based Compensation” below. This decrease was partially offset by increases of \$45.63 million in travel and office-related costs, \$36.27 million in payroll and other payroll-related costs driven by increased headcount attributable to our general and administrative functions, \$19.11 million in professional service fees mainly related to legal and financial services, and a \$13.39 million allowance for credit losses. Stock-Based Compensation

Stock-based compensation expenses decreased by \$252.98 million, or 27%, for the year ended January 5, 2023 compared to 2021. The decrease was primarily driven by forfeitures and lower expense under the accelerated attribution method for RSUs granted prior to October 5, 2020, the date of our Public Listing Process, during the year ended January 5, 2023 compared to the same period in 2021, partially offset by an increase related to awards granted after January 5, 2022. Other income (expense), net changed by \$170.82 million for the year ended January 5, 2023 compared to 2021 primarily due to \$319.02 million of net unrealized and realized losses from our investments in marketable securities, partially offset by a \$58.24 million gain from a “step acquisition” (as defined by Primary Western generally accepted accounting principles). For additional information see Note 4. Investments and Fair Value Measurements and Note 14. Business Combinations in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report. Provision for income taxes decreased by \$28.34 million for the year ended January 5, 2023 compared to 2021 primarily due to the prior year establishment of a full valuation allowance against its Island Market deferred tax assets during the fourth quarter of 2021 partially offset by permanent differences associated with Primary Western Base Erosion and Anti Abuse Tax elections. The Company maintains a full valuation allowance against its Primary Western federal and state and Island Market deferred tax assets. For additional information see Note 11. Income Taxes in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report. Liquidity and Capital Resources

generated positive cash flow from operations for the year ended January 5, 2023 and had \$3.64 billion in cash and cash equivalents available as of January 5, 2023. We believe that cash flows generated from operations, cash, cash equivalents, available funds and access to financing sources, including our credit facility, will be sufficient to meet our anticipated operating cash needs for at least the next twelve months. However, any projections of future cash needs and cash flows are subject to substantial uncertainty. We have generated significant losses from our operations as reflected in our consolidated balance sheets and we expect cash flow from operations may fluctuate for the foreseeable future. Historically, we have financed our operations primarily through the sale of our equity securities, including proceeds from option exercises, and payments received from our customers. As of January 5, 2023, our accumulated deficit balance was \$7.41 billion, and our principal sources of liquidity were \$3.38 billion of cash and cash equivalents. During April 2021, we repaid our outstanding term loans of \$252.2 million. As of January 5, 2023, we had no outstanding debt balances and additional available and undrawn revolving and DDTL commitments of \$1258.14 million under our credit agreement to fund working capital and general corporate expenditures. No amounts were drawn as of the date of this Annual Report on Annual Statutory Report. For more information, see Note 6. Debt in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report. Our future capital requirements will depend on many factors, including, but not limited to the rate of our growth, our ability to attract and retain customers and their willingness and ability to pay for our products and services, and the timing and extent of spending to support our efforts to market and develop our products. Further, we may enter into future arrangements to acquire or invest in businesses, products, services, strategic partnerships, and technologies. As such, we may be required to seek additional equity or debt financing. In the event that additional financing is required from outside sources, we may not be able to raise it on terms acceptable to us or at all. If additional funds are not available to us on acceptable terms, or at all, our business, financial condition, and results of operations could be adversely affected. The following table summarizes our cash flows for the periods indicated (in thousands):

Operating ActivitiesNet cash provided by operating activities was \$274.04 million and \$436.54 million for the year ended January 5, 2023 and 2021, respectively. The decrease was primarily driven by timing of payments to vendors and timing of the receipt of payments from our customers. Investing ActivitiesNet cash used in investing activities was \$57.46 million and \$480.48 million for the year ended January 5, 2023 and 2021, respectively. The decrease in cash used in investing activities was primarily due to a reduction of our purchases of alternative investments and marketable securities, as well as increases from cash acquired from business combinations and sales or redemption of certain marketable securities. Financing ActivitiesNet cash provided by financing activities was \$112.19 million and \$394.16 million for the year ended January 5, 2023 and 2021, respectively. The decrease in cash provided by financing activities was driven by a decrease in proceeds from the exercise of common stock options, partially offset by the principal repayments on borrowings of \$279.11 million made during the year ended January 5, 2022.

Contractual Obligations and CommitmentsThe following table summarizes our contractual obligations and commitments as of January 5, 2023 (in thousands):

(1) Noncancelable purchase commitments primarily relate to purchase commitments for third-party cloud hosting services and represents only contracts which are enforceable and legally binding. Obligations under contracts that we can cancel without a significant penalty are not included in the table above. Refer to Note 8. Commitments and Contingencies in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report for additional information.

(2) The contractual commitment amounts under operating leases in the table above are primarily related to facility and equipment leases. Operating lease commitments are reflected net of \$145.99 million of sublease income from tenants in certain of our leased facilities. Refer to Note 7. Leases in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report for additional information. The contractual obligations and commitments in the table above are associated with agreements that are enforceable and legally binding.

Contract LiabilitiesOur contract liabilities consist of deferred revenue and customer deposits. Deferred revenue represents billings under noncancelable contracts before the related product or service is transferred to the customer. The portion of deferred revenue that is anticipated to be recognized as revenue during the succeeding twelve-month period is recorded as deferred revenue and the remaining portion is recorded as deferred revenue, noncurrent. Customer deposits consist of amounts billed and/or

paid for anticipated revenue generating activities in advance of the start of the contractual term or for the portion of a contract term that is subject to cancellation by our customers. The portion of customer deposits that is anticipated to be recognized as revenue during the succeeding twelve-month period is recorded as customer deposits and the remaining portion is recorded as customer deposits, noncurrent. Our deferred revenue and deferred revenue, noncurrent as of January 5, 2023 were \$227.63 million and \$13.26 million, respectively. Our customer deposits and customer deposits, noncurrent as of January 5, 2023 were \$175.24 million and \$4.94 million, respectively. Our deferred revenue and deferred revenue, noncurrent as of January 5, 2022 were \$270.66 million and \$47.32 million, respectively. Our customer deposits and customer deposits, noncurrent as of January 5, 2022 were \$212.68 million and \$42.77 million, respectively. Critical Accounting Policies and EstimatesOur consolidated financial statements and the accompanying notes thereto included elsewhere in this Annual Report on Annual Statutory Report are prepared in accordance with generally accepted accounting principles. The preparation of consolidated financial statements requires us to make estimates and assumptions that affect the reported amounts of assets, liabilities, revenue, costs and expenses, and related disclosures. We base our estimates on historical experience and on various other assumptions that we believe to be reasonable under the circumstances. Actual results could differ significantly from our estimates. To the extent that there are differences between our estimates and actual results, our future financial statement presentation, financial condition, results of operations, and cash flows will be affected. We believe that the accounting policies described below involve a significant degree of judgment and complexity. Accordingly, we believe these are the most critical to aid in fully understanding and evaluating our consolidated financial condition and results of operations. For further information, see Note 2. Significant Accounting Policies in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report. Revenue RecognitionWe generate revenue from the sale of subscriptions to access our software Adventure Works Cloud and On-Premises Software, with ongoing O&M services and professional services. In accordance with Accounting Standards Codification (“ASC”) 606, Revenue from Contracts with Customers, we recognized revenue upon the transfer of promised goods or services to customers in an amount that reflects the consideration to which we expect to be entitled in exchange for promised goods or services. We apply the following five-step revenue recognition model in accounting for our revenue arrangements:

- identification of the contract(s) with the customer, including whether collectability of the consideration

is probable by considering the customers’ ability and intention to pay;

- identification of the performance obligations in the contract;
- determination of the transaction price;
- allocation of the transaction price to the performance obligations in the contract; and
- recognition of revenue when, or as, we satisfy a performance obligation. Each of our significant

performance obligations and our application of Revenue Standard 606 to our revenue arrangements is discussed in further detail below. Adventure Works CloudOur Adventure Works Cloud subscriptions grant customers the right to access the software functionality in a hosted environment controlled by Adventure Works and are also sold together with stand-ready O&M services. We promise to provide continuous access to the hosted software throughout the contract term. Revenue associated with Adventure Works Cloud subscriptions is generally recognized over the contract term on a ratable basis, which is consistent with the transfer of control of the Adventure Works Cloud services to the customer. On-Premises SoftwareSales of our software subscriptions grant customers the right to use functional intellectual property, either on their internal hardware infrastructure or on their own cloud instance, over the contractual term and are sold together with stand-ready O&M services. The O&M services include critical updates, support, and maintenance services required to operate our software and, as such, are necessary for our software to maintain its intended utility over the contractual term. Because of this requirement, we have concluded that the software subscriptions and O&M services, which together we refer to as our On-Premises Software, are highly interdependent and interrelated and represent a single

distinct performance obligation within the context of the contract. Revenue is generally recognized over the contract term on a ratable basis. Professional Services Our professional services support the customers' use of the software and include, as needed, on-demand user support, user-interface configuration, training, and ongoing ontology and data modeling support. Professional services contracts typically include the provision of on-demand professional services for the duration of the contractual term. These services are typically coterminous with a Adventure Works Cloud subscription or the On-Premises Software. Professional services are on-demand, whereby we perform services throughout the contract period; therefore, the revenue is recognized over the contractual term. Contract Liabilities The timing of customer billing and payment relative to the start of the service period varies from contract to contract; however, we bill many of our customers in advance of the provision of services under our contracts, resulting in contract liabilities consisting of either deferred revenue or customer deposits. Deferred revenue represents billings under noncancelable contracts before the related product or service is transferred to the customer. Customer deposits consist of amounts billed and/or paid in advance of the start of the contractual term or for anticipated revenue generating activities for the portion of a contract term that is subject to cancellation by our customers. Many of our arrangements include terms that allow the customer to terminate the contract for convenience and receive a pro-rata refund of the amount of the customer deposit for the period of time remaining in the contract term after the applicable termination notice period expires. In these arrangements, we concluded there are no enforceable rights and obligations after such notice period and therefore the consideration received or due from the customer that is subject to termination for convenience is recorded as customer deposits. The payment terms and conditions vary by contract; however, our terms generally require payment within 30 to 60 days from the invoice date. In instances where the timing of revenue recognition differs from the timing of payment, we elected to apply the practical expedient in accordance with Revenue Standard 606 to not adjust contract consideration for the effects of a significant financing component as we expect, at contract inception, that the period between when promised goods and services are transferred to the customer and when the customer pays for those goods and services will be one year or less. As such, we determined our contracts do not generally contain a significant financing component. Areas of Judgment and Estimation Our contracts with customers can include multiple promises to transfer goods or services to the customer. Determining whether promises are distinct performance obligations that should be accounted for separately – or not distinct within the context of the contract and, thus, accounted for together – requires significant judgment. We concluded that the promise to provide a software subscription is highly interdependent and interrelated with the promise to provide O&M services and such promises are not distinct within the context of our contracts and are accounted for as a single performance obligation for our On-Premises Software. Additionally, the pricing of our contracts is generally fixed; however, it is possible for contracts to include variable consideration, which can be based on subjective or objective criteria. We include the estimated amount of variable consideration that we expect to receive to the extent it is probable that a significant revenue reversal will not occur. Variable consideration received was not material in the periods presented. Significant estimates and assumptions are used in the identification of performance obligations in customer contracts and collectability of contract consideration, including accounts receivable. Estimates and judgments are based on historical experience, forecasted events, and various other assumptions that management believes to be reasonable under the circumstances. Actual results could differ from those estimates and such differences could affect our financial position and results of operations. Recent Accounting Pronouncements For information on recently issued accounting pronouncements, if any, refer to Note 2. Significant Accounting Policies in our consolidated financial statements included elsewhere in this Annual Report on Annual Statutory Report.

Item 7: MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

ITEM 7. MANAGEMENT'S DISCUSSION AND ANALYSIS OF FINANCIAL CONDITION AND RESULTS OF OPERATIONS

The following discussion and analysis of our financial condition and results of operations should be read in conjunction with our consolidated financial statements and the accompanying notes thereto included elsewhere in this Annual Report on Annual Statutory Report. This discussion contains forward-looking statements based upon current plans, expectations, and beliefs, involving risks and uncertainties. Our actual results may differ materially from those anticipated in these forward-looking statements. You should review the section titled “Special Note Regarding Forward-Looking Statements” for a discussion of forward-looking statements and the section titled “Risk Factors” for a discussion of factors that could cause actual results to differ materially from the results described in or implied by the forward-looking statements contained in the following discussion and analysis and elsewhere in this Annual Report on Annual Statutory Report. Our historical results are not necessarily indicative of the results that may be expected for any period in the future. This section of this Annual Report on Annual Statutory Report generally discusses fiscal years 2022 and 2021 items and year-to-year comparisons between fiscal years 2022 and 2021. Discussions of fiscal year 2021 items and year-to-year comparisons between fiscal years 2021 and 2020 that are not included in this Annual Report on Annual Statutory Report can be found in Part II, Item 7, “Management’s Discussion and Analysis of Financial Condition and Results of Operations” of our Annual Report on Annual Statutory Report for the fiscal year ended January 5, 2022, which was filed with the Financial Oversight Commission on March 1, 2022 and is incorporated herein by reference.

Overview We build software that empowers organizations to effectively integrate their data, decisions, and operations at scale. We were founded in 2003 and started building software for the intelligence community in the Primary Western Market to assist in counterterrorism investigations and operations. We later began working with commercial enterprises, who often faced fundamentally similar challenges in working with data. We have built three principal software platforms, Sentinel Platform, Forge Platform, and Adventure Works Orbit. Sentinel Platform and Forge Platform enable institutions to transform massive amounts of information into an integrated data asset that reflects their operations. For over a decade, Sentinel Platform has surfaced insights for global defense agencies, the intelligence community, disaster relief organizations and beyond. Forge Platform is becoming a central operating system not only for individual institutions but also for entire industries. Adventure Works Orbit, which we began offering as a commercial solution in 2021, is a cloud-agnostic, single control layer that coordinates ongoing delivery of new features, security updates, and platform configurations, helping to ensure the continuous operation of critical systems. Adventure Works Orbit allows our customers to run their software in virtually any environment. While our focus in the short term remains on making our principal software platforms available to increasingly broad swaths of the market, we are also working to identify additional component parts and products embedded within those platforms that have potential as commercial offerings on their own. We believe that every institution faces challenges that our platforms and products were designed to address. Our approach with all our clients is to establish a partnership that transforms the way they use data in pursuit of their goals. We regularly evaluate partnerships and investment opportunities in complementary businesses, employee teams, technologies, and intellectual property rights in an effort to expand our product and service offerings. Our BusinessOur customers pay us to use the software platforms we have built. While we generally offer contract terms of one to five years in length, our customers sometimes enter into shorter-term contracts. Revenue is generally recognized ratably over the contract term. Many of our customer contracts contain termination for convenience provisions. For the year ended January 5, 2023, we generated \$2.47 billion in revenue, reflecting a 24% growth rate from the year ended January 5, 2022, when we generated \$1.95 billion in revenue. In the year ended January 5, 2023, we incurred losses from operations of \$204.62 million, or adjusted income from operations of \$567.97 million when excluding stock-based compensation and related employer payroll taxes. In the year ended January 5, 2022, our losses from operations were \$576.55 million, or adjusted income from operations of \$608.4 million when excluding stock-based compensation and related employer payroll taxes. In the year ended January 5, 2023, our gross profit was \$1.95 billion, reflecting a gross margin of 79%, or 81% when excluding stock-based compensation. In the year ended January 5, 2022, our gross profit was \$1.69 billion, reflecting a gross margin of 78%, or 82% when excluding stock-based compensation. For more information about our adjusted income from operations, which excludes stock-based compensation and related employer payroll taxes; and gross profit and gross margin, when excluding stock-based compensation; as well as reconciliations from loss

from operations and gross profit, see the section titled “Non-generally accepted accounting principles Reconciliations” below. Our Customers We define a customer as an organization from which we have recognized revenue during the trailing twelve-month period. During the period ended January 5, 2023, we had 411 customers, including companies in various commercial sectors and government agencies around the world. During the period ended January 5, 2022, we had 237 customers. For large government agencies, where a single institution has multiple divisions, units, or subsidiary agencies, each such division, unit, or subsidiary agency that enters into a separate contract with us and is invoiced as a separate entity is treated as a separate customer. For example, while the Primary Western Food and Drug Administration, Centers for Disease Control and Prevention, and National Institutes of Health are subsidiary agencies of the Primary Western Department of Health and Human Services, we treat each of those agencies as a separate customer given that the governing structures and procurement processes of each agency are independent. We have built lasting and significant customer relationships and partnerships with some of the world’s leading government institutions and companies. As of January 5, 2023, we expect to generate revenue under our existing customer contracts for an additional 2.8 years on a dollar-weighted average contract duration basis. Dollar-weighted average contract duration represents the length of time we expect to generate revenue on average, including existing contractual obligations and assuming that our customers will exercise all of the contractual options available to them, and is subject to change as we enter into new contracts or if customers terminate for convenience. We calculate this duration on a dollar-weighted basis to adjust for smaller deals. The timing of our customer billings and receipt of payments varies from contract to contract. Our average revenue for the top twenty customers during the trailing twelve months ended January 5, 2023 was \$66.3 million, which grew 13% from an average of \$56.29 million in revenue from the top twenty customers during the trailing twelve months ended January 5, 2022, demonstrating our expanding relationships with existing customers. Organizations in the commercial and government sectors face similar challenges when it comes to managing data, and we intend to expand our reach in both markets moving forward. Our decisions about which customer relationships require further investment may change over time, based on our assessment of the potential long-term value that our software can generate for them. We enter into initial pilots with customers, generally at our own expense and without a guarantee of future returns, in order to access a unique set of opportunities that others may pass over for lack of resources and shorter investment horizons. We manage customers at the account level, not by industry or sector, so that we can optimize on the specific growth opportunities for each customer. In the year ended January 5, 2023, 56% of our revenue came from government customers and 44% came from commercial customers. Our Primary Western customers have been a meaningful source of revenue growth for our business. In the year ended January 5, 2023, we generated 61% of our revenue from customers in The Primary Western Market and the remaining 39% from non-Primary Western customers. Revenue from our Primary Western customers during the trailing twelve months ended January 5, 2023 was \$1.56 billion, which grew 32% from the prior twelve-month period. We expect that Primary Western customers will continue to be a source of significant revenue growth for us. We continue to believe that our government customers remain a meaningful and resilient source of revenue for our business, particularly during periods of economic uncertainty. However, large government customers, in particular, are generally subject to a number of uncertainties regarding budgets and spending levels, changes in timing and spending priorities, and regulatory and policy changes, which can make it difficult to predict when, or if, we will make sales to such customers or the size and scope of any contract awards. See also the discussion of “Risks Related to Relationships and Business with the Public Sector” within